



THREE WAYS OF INVESTING

There are three ways by which an investor can invest to achieve superior results. One is intellectually difficult, the second is physically difficult and the third is emotionally difficult.¹



The Intellectually Difficult Path

Investors like Warren Buffet, Charlie Munger, John Templeton, and a few others have taken the intellectually difficult path of beating the markets. This path is pursued by those who have a profound understanding of investing, can see future trends clearly, and can comprehend business and the environment. They know that patience is a virtue and therefore take long-term positions. We admire them but usually in retrospect. Initially, we may see them as being misguided, but that is only because of our inability to grasp their point of view.

This method is all about the cash flow approach. It is the most difficult path as it requires a keen mind to study the different concepts of investing—how different businesses work, and how economic policies and market forces affect the business environment. A good grasp of the various fields of management is required to understand organisations and their ability to capitalise on various business opportunities. A good knowledge of the field of liberal arts is basic to the development of various investment concepts. Here the name of the game is patience. Such investors are always on the lookout for good opportunities and bargain prices. As long-term investors, they are willing to wait for them. They are not perturbed by events, news, rumours and gossip that create short-term volatilities. They have a strong belief in their abilities and, since their goal is investing long-term for cash flows